NextEra Energy, Inc.

NEE NYSE

Buy	$88.34 ▲ 2.28%	12M Price Target **$98.00**	52-Week Range $69.24 – $98.75	Market Cap $184.24B

NEE: Utilities Bid on Rate-Cut Hopes, AI Power Demand

WHAT HAPPENED

- NEE popped 2.3% yesterday and utilities as a whole led the market (+2.21% on the day). This isn't a NEE-specific story — it's a rates story. When investors think the Fed is closer to cutting, boring dividend payers like NEE get bid up because their ~3% dividend yield suddenly looks better vs. shrinking bond yields.
- Options flow is loudly bullish — call buyers outnumbered put buyers nearly 3-to-1, and there was unusual buying on the $85 and $86 July calls (someone's betting on continued upside into earnings season).

WHY IT MATTERS

The setup here is genuinely interesting: NEE is caught between two massive forces. On one hand, it's the largest owner of wind and solar in America, which means the political fight over renewable tax credits (the Inflation Reduction Act stuff) directly hits their project economics. On the other hand, they own Florida Power & Light — a regulated monopoly serving one of the fastest-growing states — plus they're a prime beneficiary of the data center power boom (AI data centers need 24/7 electricity, and utilities can charge premium rates to serve them). Stock at 65% of its 52-week range tells me the market is cautiously optimistic but hasn't fully priced in the AI power demand story yet.

POLICY & POLITICAL WATCH

The big overhang is the ongoing Republican effort to phase out IRA clean energy tax credits — every headline suggesting credits get preserved (or grandfathered for projects already underway) is a green light for NEE, and every hostile headline is a headwind. Watch Treasury guidance on "safe harbor" rules that determine which projects qualify — NEE has been aggressively locking in credits by starting construction early, which is a smart defensive move. Second thing to watch: FERC transmission rules and state-level PUC decisions on how utilities can charge data centers — friendly rulings here are worth billions to NEE over the next decade.

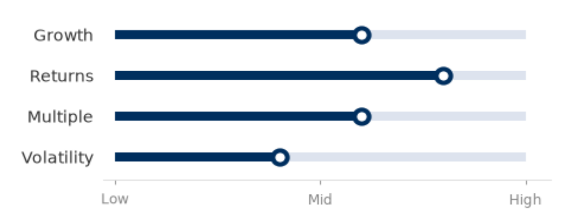
IS IT EXPENSIVE?

At ~23x forward earnings, you're paying $23 for every $1 of profit NEE is expected to make next year — that's a premium to average utilities (which trade around 18x) but a discount to where NEE traded in 2021-2022 (30x+). The premium is justified if you believe the AI power demand story and their renewable pipeline growth (~6-8% earnings growth vs. peer 4-5%). Not a screaming bargain, but reasonable given the growth profile and the 3% dividend that's been raised every year for 30+ years.

WHAT COULD GO WRONG

Key Data	
Price (USD)	**$88.34**
12M Price Target	**$98.00**
Upside / (Downside)	**+10.9%**
Market Cap	**$184.24B**
FY2026E Revenue	**$28,500M**
FY2027E Revenue	**$31,200M**
FY2026E EPS	**$3.75**
FY2027E EPS	**$4.10**
Fwd P/E	**23.5x**

INVESTMENT PROFILE



12-MONTH PRICE PERFORMANCE VS. S&P; 500

This report is prepared by Langston's using SEC EDGAR filings, market data (yfinance), and AI-generated analysis. It does not constitute investment advice. All figures are estimates. Past performance is not indicative of future results. Investors should conduct their own due diligence.

NEE — NextEra Energy, Inc. | July 03, 2026

PRICE OUTLOOK — SCENARIO TARGETS BY TIMEFRAME

TIMEFRAME	BULL CASE	BASE CASE	BEAR CASE
1 Month	**$94.00**	$90.00	**$84.00**
6 Months	**$100.00**	$93.00	**$80.00**
1 Year	**$108.00**	$98.00	**$78.00**
2 Years	**$125.00**	$110.00	**$75.00**
5 Years	**$160.00**	$130.00	**$70.00**
10 Years	**$220.00**	$170.00	**$65.00**

WHAT'S MOVING IN THE SECTOR

HEATING UP: Healthcare (+2.63%) and Utilities (+2.21%) both ripping — classic defensive rotation that says money is getting nervous about growth stocks and hunting for yield. This is a "rate cut smells closer" trade.

COOLING OFF: Nothing screaming cold today, but note utilities are still -0.20% over 5 days — today was a bounce, not a sustained trend yet.

ROTATION WATCH: Money is rotating from high-multiple tech into defensive yielders. If this continues, NEE keeps grinding higher — but if tech rips again next week, utilities give some back.

RELATED PLAY: The picks-and-shovels play on the AI power demand story — companies like GE Vernova (GEV) that make the turbines, or Quanta Services (PWR) that builds the transmission lines. They benefit whether renewables or gas wins the AI power race.

WHO'S WINNING IN THIS SPACE?

- CEG (Constellation Energy): Nuclear operator winning big from AI data center power deals — Microsoft/Meta type contracts have re-rated the whole "clean baseload" trade
- VST (Vistra): Gas + nuclear combo that's crushed it as AI power demand narrative built

NEE CONTEXT: NEE has been lagging the pure-play AI power names (CEG, VST are up multiples over 12 months) because the market sees renewables as more policy-exposed than nuclear/gas. That's actually the setup — if IRA credits survive intact, NEE plays catch-up. It's the value/defensive way to play the same AI power theme.

WHAT I'D DO WITH THIS STOCK

7/10 Conviction Score

CONVICTION: 7/10 — solid business, real tailwinds, but the tax credit uncertainty keeps me from pounding the table

POSITION SIZE: 4-6% of portfolio — this is a core defensive/income holding, not a swing-for-the-fences bet

ENTRY POINTS: Add on pullbacks to $85-87 (rate scare days), be more aggressive if we ever revisit sub-$80

TIME HORIZON: 12-24 months — the catalysts are Fed cuts, Treasury tax credit guidance, and Q2/Q3 earnings that quantify data center demand

WHEN TO BAIL: Full IRA repeal with no grandfathering, a dividend cut (would signal something very wrong), or the stock breaking $75 on heavy volume

HEDGING: Simplest hedge — pair a NEE long with a smaller position in a nuclear name like CEG or VST. If renewables policy sours, nuclear benefits. If rates fall and everyone piles into yield, NEE benefits. You own the "AI needs power" theme from both angles.

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